The government's approach was also partly responsible for the Nepalese Maoists' attitude to India. According to Khatri, during the Atal Bihari Vajpayee government, the Indian intelligence agency was not in favour of completely banning the All India Nepali Unity Society, the political front of the Maoist movements in Nepal. The group was active in India and its political leadership was looking for support to enter mainstream politics. But to please King Gyanendra of Nepal, the Vajpayee government not only blacklisted the outfit but also arrested its leaders, Maheshwar Dahal and Partha Chhetri, who were in Delhi in July 2002. A R&AW officer privy to several discussions on Nepal in the government said that the Himalayan country was non-committal about the extradition of third country nationals despite the fact that Pakistani extremists, sheltered by a large delegation of ISI officers under diplomatic cover, were operating from its soil. He said that during a meeting over the mutual legal assistance agreement in February 2003, Nepal's discomfort was more than visible. The Nepalese officials were reluctant to deport Pakistani extremists and were also concerned about India's demand for the grant of access to Indian investigators on a reciprocal basis. On the political front, though India had started putting pressure on King Gyanendra to step back and allow democracy to flourish, it was a delayed response and various parties with leaders flirting with Pakistan and China had become active.

Meanwhile, India was dutifully executing a request from the Royal Nepalese Army and handing over Nepalese Maoist leaders hiding in India, including those who had come seeking medical treatment. India had to pay the price for this when King Gyanendra, after seizing power in February 2005, turned hostile towards India. The king had been playing both sides. He had secretly been in talks with Maoists back home, while asking